

War Making and State Making as Organized Crime

Charles Tilly

in *Bringing the State Back In* edited by Peter Evans, Dietrich Rueschemeyer, and Theda Skocpol (Cambridge: Cambridge University Press, 1985).

It protection rackets represent organised crime at its smoothest, then war risking and state making – quintessential protection rackets with the advantage of legitimacy – qualify as our largest examples of organised crime. Without branding all generals and statesmen as murderers or thieves, I want to urge the value of that analogy. At least for the European experience of the past few centuries, a portrait of war makers and state makers .r. coercive and self-seeking entrepreneurs bears a far greater resemblance to the facts than do its chief alternatives: the idea of a social contract, the idea of an open market in which operators of armies and states offer services to willing consumers, the idea of a society whose shared norms and expectations call forth a certain kind of government.

The reflections that follow merely illustrate the analogy of war making and state making with organized crime from a few hundred years of European experience and offer tentative arguments concerning principles of change and variation underlying the experience. My reflections grow from contemporary concerns: worries about the increasing destructiveness of war, the expanding role of great powers as suppliers of arms and military organization to poor countries, and the growing importance of military r tile in those same countries. They spring from the hope that the European experience, properly understood, will help us to grasp what is happening today, perhaps even to do something about it.

The Third World of the twentieth century does not greatly resemble Europe of the sixteenth or seventeenth century. In no simple sense can we read the future of Third World countries from the pasts of European countries. Yet a thoughtful exploration of European experience will serve us well. It will show us that coercive exploitation played a large part in the creation of the European states. It will show us that popular resistance to

coercive exploitation forced would-be power holders to concede protection and constraints on their own action. It will therefore help us to eliminate faulty implicit comparisons between today's Third World and yesterday's Europe. That clarification will make it easier to understand exactly how today's world is different and what we therefore have to explain. It may even help us to explain the current looming presence of military organization and action throughout the world. Although that result would delight me, I do not promise anything so grand.

This essay, then, concerns the place of organised means of violence in the growth and change of those peculiar forms of government we call national states: relatively centralized, differentiated organizations the officials of which more or less successfully claim control over the chief concentrated means of violence within a population inhabiting a large, contiguous territory. The argument grows from historical work on the formation of national states in Western Europe, especially on the growth of the French state from 1600 onward. But it takes several deliberate steps away from that work, wheels, and stares hard at it from theoretical ground. The argument brings with it few illustrations and no evidence worthy of the name.

Just as one repacks a hastily filled rucksack after a few days on the trail – throwing out the waste, putting things in order of importance, and balancing the load – I have repacked my theoretical baggage for the climb to come; the real test of the new packing arrives only with the next stretch of the trail. The trimmed-down argument stresses the interdependence of war making and state making and the analogy between both of those processes and what, when less successful and smaller in scale, we call organised crime. War makes states, I shall claim. Banditry, piracy, gangland rivalry, policing, and war making all belong on the same continuum – that I shall claim as well. For the historically limited period in which national states were becoming the dominant organisations in Western countries, I shall also claim that mercantile capitalism and state making reinforced each other.

Double-Edged Protection

In contemporary American parlance, the word "protection" sounds two contrasting tones. One is comforting, the other ominous. With one tone, "protection" calls up images of the shelter against danger provided by a powerful friend, a large insurance policy, or a sturdy roof. With the other, it evokes the racket in which a local strong man forces merchants to pay tribute in order to avoid damage – damage the strong man himself threatens to deliver. The difference, to be sure, is a matter of degree: A hell-and-damnation priest is likely to collect contributions from his parishioners only to the extent that they believe his predictions of brimstone for infidels; our neighborhood mobster may actually be, as he claims to be, a brothel's best guarantee of operation free of police interference.

Which image the word "protection" brings to mind depends mainly on our assessment of the reality and eternality of the threat. Someone who

produces both the danger and, at a price, the shield against it is a racketeer. Someone who provides a needed shield but has little control over the danger's appearance qualifies as a legitimate protector, especially if his price is no higher than his competitors'. Someone who supplies reliable, low-priced shielding both from local racketeers and from outside marauders makes the best offer of all.

Apologists for particular governments and for government in general commonly argue, precisely, that they offer protection from local and external violence. They claim that the prices they charge barely cover the costs of protection. They call people who complain about the price of protection "anarchists," "subversives," or both at once. But consider the definition of a racketeer as someone who creates a threat and then charges for its reduction. Governments' provision of protection, by this standard, often qualifies as racketeering. To the extent that the threats against which a given government protects its citizens are imaginary or are consequences of its own activities, the government has organized a protection racket. Since governments themselves commonly simulate, stimulate, or even fabricate threats of external war and since the repressive and extractive activities of governments often constitute the largest current threats to the livelihoods of their own citizens, many governments operate in essentially the same ways as racketeers. There is, of course, a difference: Racketeers, by the conventional definition, operate without the sanctity of governments.

How do racketeer governments themselves acquire authority? As a question of fact and of ethics, that is one of the oldest conundrums of political analysis. Back to Machiavelli and Hobbes, nevertheless, political observers have recognized that, whatever else they do, governments organize and, wherever possible, monopolize violence. It matters little whether we take violence in a narrow sense, such as damage to persons and objects, or in a broad sense, such as violation of people's desires and interests; by either criterion, governments stand out from other organisations by their tendency to monopolize the concentrated means of violence. The distinction between "legitimate" and "illegitimate" force, furthermore, makes no difference to the fact. If we take legitimacy to depend on conformity to an abstract principle or on the assent of the governed (or both at once), these conditions may serve to justify, perhaps even to explain, the tendency to monopolies force; they do not contradict the fact.

In any case, Arthur Stinchcombe's agreeably cynical treatment of legitimacy serves the purposes of political analysis much more efficiently. Legitimacy, according to Stinchcombe, depends rather little on abstract principle or assent of the governed: "The person *over whom power is exercised* is not usually as important as *other power-holders*."¹ Legitimacy is the probability that other authorities will act to confirm the decisions of a given authority. Other authorities, I would add, are much more likely to confirm the decisions of a challenged authority that controls substantial force; not only fear of retaliation, but also desire to maintain a stable environment recommend that general rule. The rule underscores the importance of the

authority's monopoly of force. A tendency to monopolies the means of violence makes a government's claim to provide protection, in either the comforting or the ominous sense of the word, more credible and more difficult to resist.

Frank recognition of the central place of force in governmental activity does not require us to believe that governmental authority rests "only" or "ultimately" on the threat of violence. Nor does it entail the assumption that a government's only service is protection. Even when a government's use of force imposes a large cost, some people may well decide that the government's other services outbalance the costs of acceding to its monopoly of violence. Recognition of the centrality of force opens the way to an understanding of the growth and change of governmental forms.

Here is a preview of the most general argument: Power holders' pursuit of war involved them willy-nilly in the extraction of resources for war making from the populations over which they had control and in the promotion of capital accumulation by those who could help them borrow and buy. War making, extraction, and capital accumulation interacted to shape European state making. Power holders did not undertake those three momentous activities with the intention of creating national states – centralized, differentiated, autonomous, extensive political organizations. Nor did they ordinarily foresee that national states would emerge from war making, extraction, and capital accumulation.

Instead, the people who controlled European states and states in the making warred in order to check or overcome their competitors and thus to enjoy the advantages of power within a secure or expanding territory. To make more effective war, they attempted to locate more capital. In the short run, they might acquire that capital by conquest, by selling off their assets, or by coercing or dispossessing accumulators of capital. In the long run, the quest inevitably involved them in establishing regular access to capitalists who could supply and arrange credit and in imposing one form of regular taxation or another on the people and activities within their spheres of control.

As the process continued, state makers developed a durable interest in promoting the accumulation of capital, sometimes in the guise of direct return to their own enterprises. Variations in the difficulty of collecting taxes, in the expense of the particular kind of armed force adopted, in the amount of war making required to hold off competitors, and so on resulted in the principal variations in the forms of European states. It all began with the effort to monopolies the means of violence within a delimited territory adjacent to a power holder's base.

Violence and Government

What distinguished the violence produced by states from the violence delivered by anyone else? In the long; run, enough to make the division be

tween "legitimate" and "illegitimate" force credible. Eventually, the personnel of states purveyed violence on a larger scale, more effectively, more efficiently, with wider assent from their subject populations, and with readier collaboration from neighboring authorities than did the personnel of other organizations. But it took a long time for that series of distinctions to become established. Early in the state-making process, many parties shared the right to use violence, the practice of using it routinely to accomplish their ends, or both at once. The continuum ran from bandits and pirates to kings via tax collectors, regional power holders, and professional soldiers.

The uncertain, elastic line between "legitimate" and "illegitimate" violence appeared in the upper reaches of power. Early in the state-making process, many parties shared the right to use violence, its actual employment, or both at once. The long love-hate affair between aspiring state makers and pirates or bandits illustrates the division. "Behind piracy or the seas acted cities and city-states," writes Fernand Braudel of the sixteenth century. "Behind banditry, that terrestrial piracy, appeared the continual aid of lords."² In times of war, indeed, the managers of full-fledged states often commissioned privateers, hired sometime bandits to raid their enemies, and encouraged their regular troops to take booty. In royal service, soldiers and sailors were often expected to provide for themselves by preying on the civilian population: commandeering, raping, looting, taking prizes. When demobilized, they commonly continued the same practices, but without the same royal protection; demobilized ships became pirate vessels, demobilized troops bandits.

It also worked the other way: A king's best source of armed supporter was sometimes the world of outlaws. Robin Hood's conversion to royal archer may be a myth, but the myth records a practice. The distinctions between "legitimate" and "illegitimate" users of violence came clear only very slowly, in the process during which the states armed forces became relatively unified and permanent.

Up to that point, as Braudel says, maritime cities and terrestrial lords commonly offered protection, or even sponsorship, to freebooters. Many lords who did not pretend to be kings, furthermore, successfully claimed the right to levy troops and maintain their own armed retainers. Without calling on some of those lords to bring their armies with them, no king could fight a war; yet the same armed lords constituted the king's rival and opponents, his enemies' potential allies. For that reason, before the seventeenth century, regencies for child sovereigns reliably produced civil wars. For the same reason, disarming the great stood high on the agenda of every would-be state maker.

The Tudors, for example, accomplished that agenda through most England. "The greatest triumph of the Tudors," writes Lawrence Stone,

was the ultimately successful assertion of a **royal** monopoly of violence both public and private, an achievement which profoundly altered not only the nature of **poli-**

tics but also the quality of daily life. There occurred a change in English habits that can only be compared with the further step taken in the nineteenth century, when the growth of a police force finally consolidated the monopoly and made it effective in the greatest cities and the smallest villages.³

Tudor demilitarization of the great lords entailed four complementary campaigns: eliminating their great personal bands of armed retainers, razing their fortresses, taming their habitual resort to violence for the settlement of disputes, and discouraging the cooperation of their dependents and tenants. In the Marches of England and Scotland, the task was more delicate, for the Percys and Dacres, who kept armies and castles along the border, threatened the Crown but also provided a buffer against Scottish invaders. Yet they, too, eventually fell into line.

In France, Richelieu began the great disarmament in the 1620s. With Richelieu's advice, Louis XIII systematically destroyed the castles of the great rebel lords, Protestant and Catholic, against whom his forces battled incessantly. He began to condemn dueling, the carrying of lethal weapons, and the maintenance of private armies. By the later 1620s, Richelieu was declaring the royal monopoly of force as doctrine. The doctrine took another half-century to become effective:

Once more the conflicts of the Fronde had witnessed armies assembled by the "grands." Only the last of the regencies, the one after the death of Louis XIV, did not lead to armed uprisings. By that time Richelieu's principle had become a reality. Likewise in the Empire after the Thirty Years' War only the territorial princes had the right of levying troops and of maintaining fortresses.... Everywhere the razing of castles, the high cost of artillery, the attraction of court life, and the ensuing domestication of the nobility had its share in this development.⁴

By the later eighteenth century, through most of Europe, monarchs controlled permanent, professional military forces that rivaled those of their neighbors and far exceeded any other organized armed force within their own territories. The state's monopoly of large-scale violence was turning from theory to reality.

The elimination of local rivals, however, posed a serious problem. Beyond the scale of a small city-state, no monarch could govern a population with his armed force alone, nor could any monarch afford to create a professional staff large and strong enough to reach from him to the ordinary citizen. Before quite recently, no European government approached the completeness of articulation from top to bottom achieved by imperial China. Even the Roman Empire did not come close. In one way or another, every European government before the French Revolution relied on indirect rule via local magnates. The magnates collaborated with the government without becoming officials in any strong sense of the term, had some access to government-backed force, and exercised wide discretion within their own territories: junkers, justices of the peace, lords. Yet the same magnates were potential rivals, possible allies of a rebellious people.

Eventually, European governments reduced their reliance on indirect rule by means of two expensive but effective strategies: (a) extending their officialdom to the local community and (b) encouraging the creation of police forces that were subordinate to the government rather than to individual patrons, distinct from war-making forces, and therefore less useful as the tools of dissident magnates. In between, however, the builders of national power all played a mixed strategy: eliminating, subjugating, dividing, conquering, cajoling, buying as the occasions presented themselves. The buying manifested itself in exemptions from taxation, creations of honorific offices, the establishment of claims on the national treasury, and a variety of other devices that made a magnate's welfare dependent on the maintenance of the existing structure of power. In the long run, it all came down to massive pacification and monopolization of the means of coercion.

Protection as Business

In retrospect, the pacification, cooptation, or elimination of fractious rivals to the sovereign seems an awesome, noble, prescient enterprise, destined to bring peace to a people; yet it followed almost ineluctably from the logic of expanding power. If a power holder was to gain from the provision of protection, his competitors had to yield. As economic historian Frederic Lane put it twenty-five years ago, governments are in the business of selling protection ... whether people want it or not. Lane argued that the very activity of producing and controlling violence favored monopoly, because competition within that realm generally raised costs, instead of lowering them. The production of violence, he suggested, enjoyed large economies of scale.

Working from there, Lane distinguished between (a) the monopoly profit, or *tribute*, coming to owners of the means of producing violence as a result of the difference between production costs and the price exacted from "customers" and (b) the *protection rent* accruing to those customers – for example, merchants – who drew effective protection against outside competitors. Lane, a superbly attentive historian of Venice, allowed specifically for the case of a government that generates protection rents for its merchants by deliberately attacking their competitors. In their adaptation of Lane's scheme, furthermore, Edward Ames and Richard Rapp substitute the apt word "extortion" for Lane's "tribute." In this model, predation, coercion, piracy, banditry, and racketeering share a home with their upright cousins in responsible government.

This is how Lane's model worked: If a prince could create a sufficient armed force to hold off his and his subjects' external enemies and to keep the subjects in line for 50 megapounds but was able to extract 75 megapounds in taxes from those subjects for that purpose, he gained a tribute of $(75-50=)$ 25 megapounds. If the 10-pound share of those taxes paid by one of the prince's merchant-subjects gave him assured access to world

markets at less than the 15-pound shares paid by the merchant's foreign competitors to their princes, the merchant also gained a protection rent of $(15-10=)$ 5 pounds by virtue of his prince's greater efficiency. That reasoning differs only in degree and in scale from the reasoning of violence-wielding criminals and their clients. Labor racketeering (in which, for example, a ship owner holds off trouble from longshoremen by means of a timely payment to the local union boss) works on exactly the same principle: The union boss receives tribute for his no-strike pressure on the longshoremen, while the ship owner avoids the strikes and slowdowns longshoremen impose on his competitors.

Lane pointed out the different behavior we might expect of the managers of a protection-providing government owned by

1. Citizens in general
2. A single self-interested monarch
3. The managers themselves

If citizens in general exercised effective ownership of the government – O distant ideal! – we might expect the managers to minimize protection costs and tribute, thus maximizing protection rent. A single self-interested monarch, in contrast, would maximize tribute, set costs so as to accomplish that maximization of tribute, and be indifferent to the level of protection rent. If the managers owned the government, they would tend to keep costs high by maximizing their own wages, to maximize tribute over and above those costs by exacting a high price from their subjects, and likewise to be indifferent to the level of protection rent. The first model approximates a Jeffersonian democracy, the second a petty despotism, and the third a military junta.

Lane did not discuss the obvious fourth category of owner: a dominant class. If he had, his scheme would have yielded interesting empirical criteria for evaluating claims that a given government was "relatively autonomous" or strictly subordinate to the interests of a dominant class. Presumably, a subordinate government would tend to maximize monopoly profits – returns to the dominant class resulting from the difference between the costs of protection and the price received for it – as well as tuning protection rents nicely to the economic interests of the dominant class. An autonomous government, in contrast, would tend to maximize managers' wages and its own size as well and would be indifferent to protection rents. Lane's analysis immediately suggests fresh propositions and ways of testing them.

Lane also speculated that the logic of the situation produced four successive stages in the general history of capitalism:

1. A period of anarchy and plunder
2. A stage in which tribute takers attracted customers and established their monopolies by struggling to create exclusive, substantial states

3. A stage in which merchants and landlords began to gain more from protection rents than governors did from tribute

4. A period (fairly recent) in which technological changes surpassed protection rents as sources of profit for entrepreneurs

In their new economic history of the Western world, Douglass North and Robert Paul Thomas make stages 2 and 3 – those in which state makers created their monopolies of force and established property rights that permitted individuals to capture much of the return from their own growth-generating innovations – the pivotal moment for sustained economic growth. Protection, at this point, overwhelms tribute. If we recognize that the protected property rights were mainly those of capital and that the development of capitalism also facilitated the accumulation of the wherewithal to operate massive states, that extension of Lane's analysis provides a good deal of insight into the coincidence of war making, state making, and capital accumulation.

Unfortunately, Lane did not take full advantage of his own insight. Wanting to contain his analysis neatly within the neoclassical theory of industrial organization, Lane cramped his treatment of protection: treating all taxpayers as "customers" for the "service" provided by protection-manufacturing governments, brushing aside the objections to the idea of a forced sale by insisting that the "customer" always had the choice of not paying and taking the consequences of nonpayment, minimizing the problems of divisibility created by the public-goods character of protection, and deliberately neglecting the distinction between the costs of producing the means of violence in general and the costs of giving "customers" protection by means of that violence. Lane's ideas suffocate inside the neoclassical box. Lane breathe easily outside it. Nevertheless, inside or outside, they properly draw the economic analysis of government back to the chief activities that real governments have carried on historically: war, repression, protection, adjudication.

More recently, Richard Bean has applied a similar logic to the rise of European national states between 1400 and 1600. He appeals to economies of scale in the production of effective force, counteracted by diseconomies of scale in command and control. He then claims that the improvement of artillery in the fifteenth century (cannon made small medieval forts much more vulnerable to an organized force) shifted the curve of economies and diseconomies to make larger armies, standing armies, and centralized governments advantageous to their masters. Hence, according to Bean, military innovation promoted the creation of large, expensive, well-armed national states.

History Talks

Bean's summary does not stand up to historical scrutiny. As a matter of practice, the shift to infantry-backed artillery sieges of fortified cities oc-

curred only during the sixteenth and seventeenth centuries. Artillery did improve during the fifteenth century, but the invention of new fortifications, especially the *trace italienne*, rapidly countered the advantage of artillery. The arrival of effective artillery came too late to have caused the increase in the viable size of states. (However, the increased cost of fortifications to defend against artillery did give an advantage to states enjoying larger fiscal bases.)

Nor is it obvious that changes in land war had the sweeping influence Bean attributes to them. The increasing decisiveness of naval warfare, which occurred simultaneously, could well have shifted the military advantage to small maritime powers such as the Dutch Republic. Furthermore, although many city-states and other microscopic entities disappeared into larger political units before 1600, such events as the fractionation of the Habsburg Empire and such facts as the persistence of large but loosely knit Poland and Russia render ambiguous the claim of a significant increase in geographic scale. In short, both Bean's proposed explanation and his statement of what must be explained raise historical doubts.

Stripped of its technological determinism, nevertheless, Bean's logic provides a useful complement to Lane's, for different military formats do cost substantially different amounts to produce and do provide substantially different ranges of control over opponents, domestic and foreign. After 1400 the European pursuit of larger, more permanent, and more costly varieties of military organization did, in fact, drive spectacular increases in princely budgets, taxes, and staffs. After 1500 or so, princes who managed to create the costly varieties of military organization were, indeed, able to conquer new chunks of territory.

The word "territory" should not mislead us. Until the eighteenth century, the greatest powers were maritime states, and naval warfare remained crucial to international position. Consider Fernand Braudel's roll call of successive hegemonic powers within the capitalist world: Venice and its empire, Genoa and its empire, Antwerp-Spain, Amsterdam-Holland, London-England, New York-the United States. Although Brandenburg-Prussia offers a partial exception, only in our own time have such essentially land-bound states as Russia and China achieved preponderant positions in the world's system of states. Naval warfare was by no means the only reason for that bias toward the sea. Before the later nineteenth century, land transportation was so expensive everywhere in Europe that no country could afford to supply a large army or a big city with grain and other heavy goods without having efficient water transport. Rulers fed major inland centers such as Berlin and Madrid only at great effort and at considerable cost to their hinterlands. The exceptional efficiency of waterways in the Netherlands undoubtedly gave the Dutch great advantages at peace and at war.

Access to water mattered in another important way. Those metropolises on Braudel's list were all major ports, great centers of commerce, and out

standing mobilizers of capital. Both the trade and the capital served the purposes of ambitious rulers. By a circuitous route, that observation brings us back to the arguments of Lane and Bean. Considering that both of them wrote as economic historians, the greatest weakness in their analyses comes as a surprise: Both of them understate the importance of capital accumulation to military expansion. As Jan de Vries says of the period after 1600:

Looking back, one cannot help but be struck by the seemingly symbiotic relationship existing between the state, military power, and the private economy's efficiency in the age of absolutism. Behind every successful dynasty stood an array of opulent banking families. Access to such bourgeois resources proved crucial to the princes' state-building and centralizing policies. Princes also needed direct access to agricultural resources, which could be mobilized only when agricultural productivity grew and an effective administrative and military power existed to enforce the princes' claims. But the lines of causation also ran in the opposite direction. Successful state-building and empire-building activities plus the associated tendency toward concentration of urban population and government expenditure, offered the private economy unique and invaluable opportunities to capture economies of scale. These economies of scale occasionally affected industrial production but were most significant in the development of trade and finance. In addition, the sheer pressure of central government taxation did as much as any other economic force to channel peasant production into the market and thereby augment the opportunities for trade creation and economic specialization.⁵

Nor does the "symbiotic relationship" hold only for the period after 1600. For the precocious case of France, we need only consider the increase in royal expenditures and revenues from 1515 to 1785. Although the rates of growth in both regards accelerated appropriately after 1600, they also rose substantially during the sixteenth century. After 1550, the internal Wars of Religion checked the work of international expansion that Francis I had begun earlier in the century, but from the 1620s onward Louis XIII and Louis XIV (aided and abetted, to be sure, by Richelieu, Mazarin, Colbert, and other state-making wizards) resumed the task with a vengeance. "As always," comments V. G. Kiernan, "war had every political recommendation and every financial drawback."⁶

Borrowing and then paying interest on the debt accounts for much of the discrepancy between the two curves. Great capitalists played crucial parts on both sides of the transaction: as the principal sources of royal credit, especially in the short term, and as the most important contractors in the risky but lucrative business of collecting royal taxes. For this reason, it is worth noticing that

for practical purposes the national debt began in the reign of Francis I. Following the loss of Milan, the key to northern Italy, on September 15, 1522, Francis I borrowed 200,000 francs ... at 12.5 percent from the merchants of Paris, to intensify the war against Charles V. Administered by the city government, this loan inaugurated the famous series of bonds based on revenues from the capital and known as *rentes sue l'Hotel de Ville*.⁷

(The government's failure to pay those *rentes*, incidentally, helped align the Parisian bourgeoisie against the Crown during the Fronde, some twelve decades later.) By 1595, the national debt had risen to 300 million francs; despite governmental bankruptcies, currency manipulations, and the monumental rise in taxes, by Louis XIV's death in 1715 war-induced borrowing had inflated the total to about 3 billion francs, the equivalent of about eighteen years in royal revenues.⁸ War, state apparatus, taxation, and borrowing advanced in tight cadence.

Although France was precocious, it was by no means alone. "Even more than in the case of France," reports the ever-useful Earl J. Hamilton,

the national debt of England originated and has grown during major wars. Except for an insignificant carry-over from the Stuarts, the debt began in 1689 with the reign of William and Mary. In the words of Adam Smith, "it was in the war which began in 1688, and was concluded by the treaty of Ryswick in 1697, that the foundation of the present enormous debt of Great Britain was first laid."⁹

Hamilton, it is true, goes on to quote the mercantilist Charles Davenant, who complained in 1698 that the high interest rates promoted by government borrowing were cramping English trade. Davenant's complaint suggests, however, that England was already entering Frederic Lane's third stage of state-capital relations, when merchants and landowners receive more of the surplus than do the suppliers of protection.

Until the sixteenth century, the English expected their kings to live on revenues from their own property and to levy taxes only for war. G. R. Elton marks the great innovation at Thomas Cromwell's drafting of Henry VIII's subsidy bills for 1534 and 1540: "1540 was very careful to continue the real innovation of 1534, namely that extraordinary contributions could be levied for reasons other than war."¹⁰ After that point as before, however, war making provided the main stimulus to increases in the level of taxation as well as of debt. Rarely did debt and taxes recede. What A. T. Peacock and J. Wiseman call a "displacement effect" (and others sometimes call a "ratchet effect") occurred: When public revenues and expenditures rose abruptly during war, they set a new, higher floor beneath which peacetime revenues and expenditures did not sink. During the Napoleonic Wars, British taxes rose from 15 to 24 percent of national income and to almost three times the French level of taxation.¹¹

True, Britain had the double advantage of relying less on expensive land forces than its Continental rivals and of drawing more of its tax revenues from customs and excise – taxes that were, despite evasion, significantly cheaper to collect than land taxes, property taxes, and poll taxes. Nevertheless, in England as well as elsewhere, both debt and taxes rose enormously from the seventeenth century onward. They rose mainly as a function of the increasing cost of war making.

What Do States Do?

As should now be clear, Lane's analysis of protection fails to distinguish among several different uses of state-controlled violence. Under the general heading of organized violence, the agents of states characteristically carry on four different activities:

1. War making: Eliminating or neutralizing their own rivals outside the territories in which they have clear and continuous priority as wielders of force
2. State making: Eliminating or neutralizing their rivals inside those territories
3. Protection: Eliminating or neutralizing the enemies of their clients
4. Extraction: Acquiring the means of carrying out the first three activities – war making, state making, and protection

The third item corresponds to protection as analyzed by Lane, but the other three also involve the application of force. They overlap incompletely and to various degrees; for example, war making against the commercial rivals of the local bourgeoisie delivers protection to that bourgeoisie. To the extent that a population is divided into enemy classes and the state extends its favors partially to one class or another, state making actually reduces the protection given some classes.

War making, state making, protection, and extraction each take a number of forms. Extraction, for instance, ranges from outright plunder to regular tribute to bureaucratized taxation. Yet all four depend on the state's tendency to monopolies the concentrated means of coercion. From the perspectives of those who dominate the state, each of them – if carried on effectively – generally reinforces the others. Thus, a state that successfully eradicates its internal rivals strengthens its ability to extract resources, to wage war, and to protect its chief supporters. In the earlier European experience, broadly speaking, those supporters were typically landlords, armed retainers of the monarch, and churchmen.

Each of the major uses of violence produced characteristic forms of organization. War making yielded armies, navies, and supporting services. State making produced durable instruments of surveillance and control within the territory. Protection relied on the organization of war making and state making but added to it an apparatus by which the protected called forth the protection that was their due, notably through courts and representative assemblies. Extraction brought fiscal and accounting structures into being. The organization and deployment of violence themselves account for much of the characteristic structure of European states.

The general rule seems to have operated like this: The more costly the activity, all other things being equal, the greater was the organizational residue. To the extent, for example, that a given government invested in large standing armies – a very costly, if effective, means of war making –

the bureaucracy created to service the army was likely to become bulky. Furthermore, a government building a standing army while controlling a small population was likely to incur greater costs, and therefore to build a bulkier structure, than a government within a populous country. Brandenburg-Prussia was the classic case of high cost for available resources. The Prussian effort to build an army matching those of its larger Continental neighbors created an immense structure; it militarized and bureaucratized much of German social life.

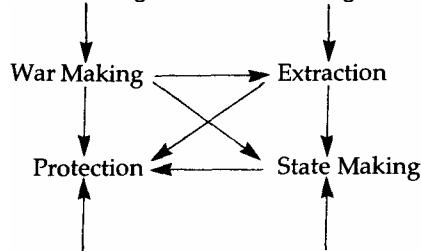
In the case of extraction, the smaller the pool of resources and the less commercialized the economy, other things being equal, the more difficult was the work of extracting resources to sustain war and other governmental activities; hence, the more extensive was the fiscal apparatus. England illustrated the corollary of that proposition, with a relatively large and commercialized pool of resources drawn on by a relatively small fiscal apparatus. As Gabriel Ardant has argued, the choice of fiscal strategy probably made an additional difference. On the whole, taxes on land were expensive to collect as compared with taxes on trade, especially large flows of trade past easily controlled checkpoints. Its position astride the entrance to the Baltic gave Denmark an extraordinary opportunity to profit from customs revenues.

With respect to state making (in the narrow sense of eliminating or neutralizing the local rivals of the people who controlled the state), a territory populated by great landlords or by distinct religious groups generally imposed larger costs on a conqueror than one of fragmented power or homogeneous culture. This time, fragmented and homogeneous Sweden, with its relatively small but effective apparatus of control, illustrates the corollary.

Finally, the cost of protection (in the sense of eliminating or neutralizing the enemies of the state makers' clients) mounted with the range over which that protection extended. Portugal's effort to bar the Mediterranean to its merchants' competitors in the spice trade provides a textbook case of an unsuccessful protection effort that nonetheless built up a massive structure.

Thus, the sheer size of the government varied directly with the effort devoted to extraction, state making, protection, and, especially, war making but inversely with the commercialization of the economy and the extent of the resource base. What is more, the relative bulk of different features of the government varied with the cost/resource ratios of extraction, state making, protection, and war making. In Spain we see hypertrophy of Court and courts as the outcome of centuries of effort at subduing internal enemies, whereas in Holland we are amazed to see how small a fiscal apparatus grows up with high taxes within a rich, commercialized economy.

Clearly, war making, extraction, state making, and protection were interdependent. Speaking very, very generally, the classic European state-making experience followed this causal pattern:



In an idealized sequence, a great lord made war so effectively as to become dominant in a substantial territory, but that war making led to increased extraction of the means of war – men, arms, food, lodging, transportation, supplies, and/or the money to buy them – from the population within that territory. The building up of war-making capacity likewise increased the capacity to extract. The very activity of extraction, if successful, entailed the elimination, neutralization, or cooptation of the great lord's local rivals; thus, it led to state making. As a by-product, it created organization in the form of tax-collection agencies, police forces, courts, exchequers, account keepers; thus it again led to state making. To a lesser extent, war making likewise led to state making through the expansion of military organization itself, as a standing army, war industries, supporting bureaucracies, and (rather later) schools grew up within the state apparatus. All of these structures checked potential rivals and opponents. In the course of making war, extracting resources, and building up the state apparatus, the managers of states formed alliances with specific social classes. The members of those classes loaned resources, provided technical services, or helped ensure the compliance of the rest of the population, all in return for a measure of protection against their own rivals and enemies. As a result of these multiple strategic choices, a distinctive state apparatus grew up within each major section of Europe.

How States Formed

This analysis, if correct, has two strong implications for the development of national states. First, popular resistance to war making and state making made a difference. When ordinary people resisted vigorously, authorities made concessions: guarantees of rights, representative institutions, courts of appeal. Those concessions, in their turn, constrained the later paths of war making and state making. To be sure, alliances with fragments of the ruling class greatly increased the effects of popular action; the broad mobilization of gentry against Charles I helped give the English Revolution of 1640 a far greater impact on political institutions than did any of the multiple rebellions during the Tudor era.

Second, the relative balance among war making, protection, extraction, and state making significantly affected the organization of the states that

emerged from the four activities. To the extent that war making went on with relatively little extraction, protection, and state making, for example, military forces ended up playing a larger and more autonomous part in national politics. Spain is perhaps the best European example. To the extent that protection, as in Venice or Holland, prevailed over war making, extraction, and state making, oligarchies of the protected classes tended to dominate subsequent national politics. From the relative predominance of state making sprang the disproportionate elaboration of policing and surveillance; the Papal States illustrate that extreme. Before the twentieth century, the range of viable imbalances was fairly small. Any state that failed to put considerable effort into war making was likely to disappear. As the twentieth century wore on, however, it became increasingly common for one state to lend, give, or sell war-making means to another; in those cases, the recipient state could put a disproportionate effort into extraction, protection, and/or state making and yet survive. In our own time, clients of the United States and the Soviet Union provide numerous examples.

This simplified model, however, neglects the external relations that shaped every national state. Early in the process, the distinction between "internal" and "external" remained as unclear as the distinction between state power and the power accruing to lords allied with the state. Later, three interlocking influences connected any given national state to the European network of states. First, there were the flows of resources in the form of loans and supplies, especially loans and supplies devoted to war making. Second, there was the competition among states for hegemony in disputed territories, which stimulated war making and temporarily erased the distinctions among war making, state making, and extraction. Third, there was the intermittent creation of coalitions of states that temporarily combined their efforts to force a given state into a certain form and position within the international network. The war-making coalition is one example, but the peace-making coalition played an even more crucial part: From 1648, if not before, at the ends of wars all effective European states coalesced temporarily to bargain over the boundaries and rulers of the recent belligerents. From that point on, periods of major reorganization of the European state system came in spurts, at the settlement of widespread wars. From each large war, in general, emerged fewer national states than had entered it.

War as International Relations

In these circumstances, war became the normal condition of the international system of states and the normal means of defending or enhancing a position within the system. Why war? No simple answer will do; war as a potent means served more than one end. But surely part of the answer goes back to the central mechanisms of state making: The very logic by which a local lord extended or defended the perimeter within which he

monopolized the means of violence, and thereby increased his return from tribute, continued on a larger scale into the logic of war. Early in the process, external and internal rivals overlapped to a large degree. Only the establishment of large perimeters of control within which great lords had checked their rivals sharpened the line between internal and external. George Modelski sums up the competitive logic cogently:

Global power ... strengthened those states that attained it relatively to all other political and other organizations. What is more, other states competing in the global power game developed similar organizational forms and similar hardness: they too became nation-states – in a defensive reaction, because forced to take issue with or to confront a global power, as France confronted Spain and later Britain, or in imitation of its obvious success and effectiveness, as Germany followed the example of Britain in *Weltmacht*, or as earlier Peter the Great had rebuilt Russia on Dutch precepts and examples. Thus not only Portugal, the Netherlands, Britain and the United States became nation-states, but also Spain, France, Germany, Russia and Japan. The short, and the most parsimonious, answer to the question of why these succeeded where "most of the European efforts to build states failed" is that they were either global powers or successfully fought with or against them.¹²

This logic of international state making acts out on a large scale the logic of local aggrandizement. The external complements the internal.

If we allow that fragile distinction between "internal" and "external" state-making processes, then we might schematize the history of European state making as three stages: (a) The differential success of some power holders in "external" struggles establishes the difference between an "internal" and an "external" arena for the deployment of force; (b) "external" competition generates "internal" state making; (c) "external" compacts among states influence the form and locus of particular states ever more powerfully. In this perspective, state-certifying organisations such as the League of Nations and the United Nations simply extended the European-based process to the world as a whole. Whether forced or voluntary, bloody or peaceful, decolonization simply completed that process by which existing states leagued to create new ones.

The extension of the Europe-based state-making process to the rest of the world, however, did not result in the creation of states in the strict European image. Broadly speaking, internal struggles such as the checking of great regional lords and the imposition of taxation on peasant villages produced important organizational features of European states: the relative subordination of military power to civilian control, the extensive bureaucracy of fiscal surveillance, the representation of wronged interests via petition and parliament. On the whole, states elsewhere developed differently. The most telling feature of that difference appears in military organization. European states built up their military apparatuses through sustained struggles with their subject populations and by means of selective extension of protection to different classes within those popula-

tions. The agreements on protection constrained the rulers themselves, making them vulnerable to courts, to assemblies, to withdrawals of credit, services, and expertise.

To a larger degree, states that have come into being recently through decolonization or through reallocations of territory by dominant states have acquired their military organization from outside, without the same internal forging of mutual constraints between rulers and ruled. To the extent that outside states continue to supply military goods and expertise in return for commodities, military alliance or both, the new states harbor powerful, unconstrained organisations that easily overshadow all other organizations within their territories. To the extent that outside states guarantee their boundaries, the managers of those military organisations exercise extraordinary power within them. The advantages of military power become enormous, the incentives to seize power over the state as a whole by means of that advantage very strong. Despite the great place that war making occupied in the making of European states, the old national states of Europe almost never experienced the great disproportion between military organization and all other forms of organization that seems the fate of client states throughout the contemporary world. A century ago, Europeans might have congratulated themselves on the spread of civil government throughout the world. In our own time, the analogy between war making and state making, on the one hand, and organized crime, on the other, is becoming tragically apt.

¹ Arthur L. Stinchcombe, *Constructing Social Theories* (New York: Harcourt, Brace & World, 1968), p. 150; italics in the original.

² Fernand Braudel, *La Méditerranée et le monde méditerranéen à l'époque de Philippe II* (Paris: Armand Colin, 1966), vol. 2, pp. 88-89.

³ Lawrence Stone, *The Crisis of the Aristocracy* (Oxford: Clarendon Press, 1965), p. 200.

⁴ Dietrich Gerhard, *Old Europe: A Study of Continuity, 1000-1800* (New York: Academic Press, 1981), pp. 124-25.

⁵ Jan de Vries, *The Economy of Europe in an Age of Crisis, 1600-1750* (Cambridge: Cambridge University Press, 1976).

⁶ V. G. Kiernan, *State and Society in Europe, 1550-1650* (Oxford: Blackwell, 1980), p. 104. For French finances, see Alain Guery, "Les Finances de la Monarchie Française sous l'Ancien Régime," *Annales Economies, Sociétés, Civilisations* 33 (1978), p. 227.

⁷ Earl J. Hamilton, "Origin and Growth of the National Debt in France and England," in *Studi in onore di Gino Luzzato* (Milan: Giuffrè, 1950), vol. 2, p. 254.

⁸ Ibid., pp. 247, 249.

⁹ Ibid., p. 254.

¹⁰ G. R. Elton, "Taxation for War and Peace in Early-Tudor England," in *War and Economic Development: Essays in Memory of David Joslin*, ed. J. M. Winter (Cambridge: Cambridge University Press, 1975), p. 42.

¹¹ Peter Mathias, *The Transformation of England: Essays in the Economic and Social History of England in the Eighteenth Century* (New York: Oxford University Press, 1979), p. 122.

¹² George Modelski, "The Long Cycle of Global Politics and the Nation State," *Comparative Studies in Society and History* 20 (1978): 231.